

# Unemployment: Causes and Consequences

ECON 300 - Labour Economics

Muhebullah Karimzada

Winter 2026

## Learning Objectives (1/2)

- Explain how imperfect information yields coexistence of unemployment and vacancies.
- Assess how technological change (esp. the Internet) affects job search/matching.
- Show how demand shifts and sectoral change can generate unemployment.
- Summarize evidence on job displacement and consequences.

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- Institutional factors (unions, large public sector)
- Demand factors & seasonal unemployment
- **Frictional** unemployment from normal turnover & imperfect info
- **Sectoral shifts** causing structural unemployment (time-to-match)
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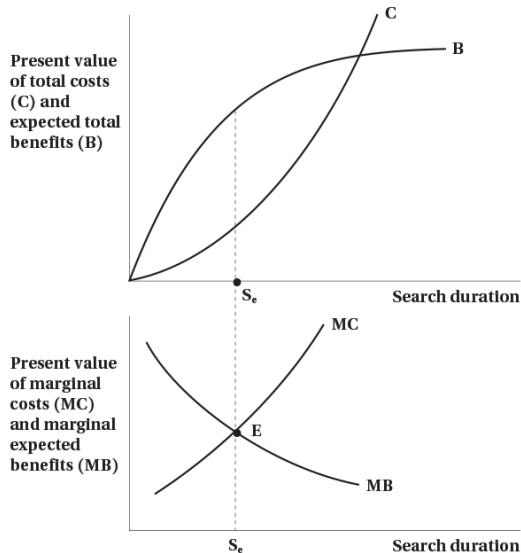
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# Figure 17.1: Optimal Job Search



# Imperfect Information: Market Implications

- Markets do not clear instantaneously.
- Wage dispersion persists even with homogeneous workers/jobs.
- “Dynamic monopsony” features: individual firms face upward-sloping supply due to frictions.



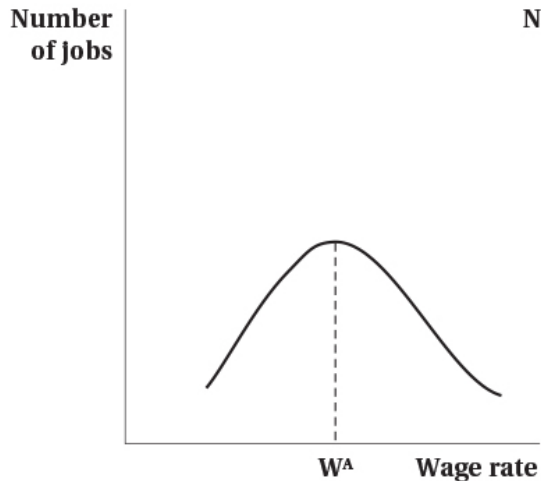
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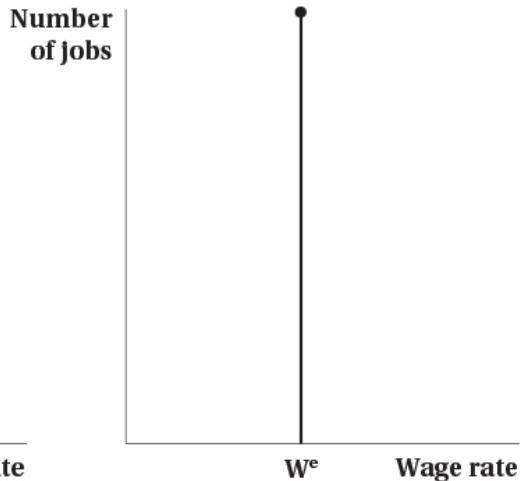
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Figure 17.2: Wage Distributions Under Imperfect vs. Perfect Information

(a) Imperfect information



(b) Full information



## Worked Example: Reservation Wage and Hazard

Julia faces three job types with equal probability: \$2,400, \$2,200, \$2,000 per month.

- Expected value of next offer:  $\mathbb{E}[W] = \$2,200$ .
- **Reservation wage:** Julia rejects any offer  $< \$2,200$  and accepts the first  $\geq \$2,200$ .
- **Hazard (acceptance) probability:**  $P(W \geq 2,200) = 2/3$ .
- Intuition: Higher search cost  $\Rightarrow$  lower reservation wage; better offer distribution  $\Rightarrow$  higher reservation wage.

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**Factors Determining Optimal Search — Map costs (benefits foregone)  
vs. expected gains; show shifts in  $S_e$ .**

*Insert figure/diagram here later.*



# Table 17.1: Search Activity of the Unemployed, 2019

| Group and Search Activity                 | Number Using Activity (thousands) | Percent Using Activity (%) |
|-------------------------------------------|-----------------------------------|----------------------------|
| Unemployed: Did not search                | 101                               | 8.8                        |
| Unemployed: Searched for full-time work   | 747                               | 65.3                       |
| Unemployed: Searched for part-time work   | 295                               | 25.8                       |
| Search activity: Looked at advertisements | 684                               | 59.8                       |
| Contacted employers directly              | 441                               | 38.6                       |
| Placed or answered advertisements         | 402                               | 35.2                       |
| Checked with friends or relatives         | 265                               | 23.2                       |
| Used public employment agency             | 134                               | 11.7                       |
| Used private employment agency            | 84                                | 7.4                        |

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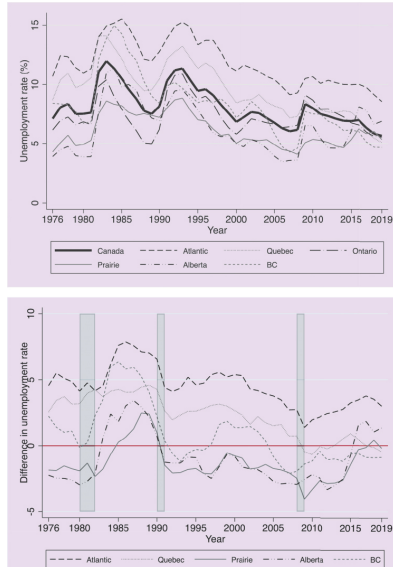
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# Figure 17.3: Regional Unemployment Rates, 1976–2019





- Permanent job loss yields **large earnings losses**, esp. after stable attachments.
- Re-employment often at substantially lower wages; losses can be long-lasting.
- Older and less-educated workers have lower re-employment probabilities.

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- Contracts stabilize income with a rigid wage  $W^*$ ; employment adjusts across states.
- Good state:  $N_0$ ,  $W^*$  below spot wage; Bad state:  $N_b^* > N_b$ ,  $W^*$  above spot wage.

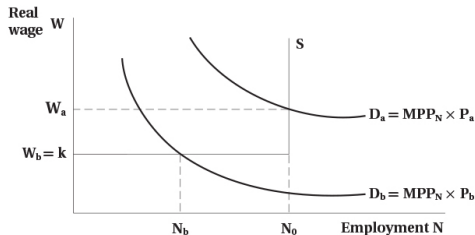
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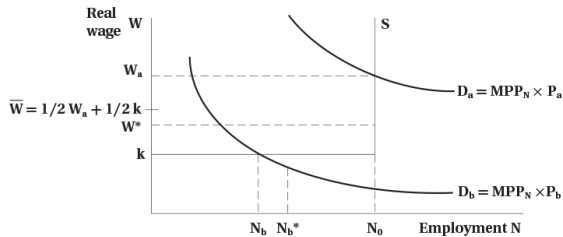
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## Figure 17.4: Implicit Contracts

(a) Wages and employment with market-clearing



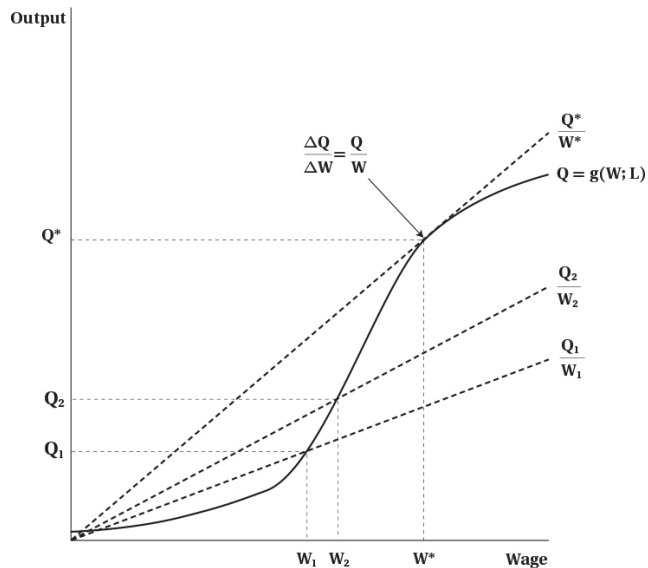
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Figure 17.5: Determination of the Efficiency Wage



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- **Replacement rate:** 55% for beneficiaries.
- Hours-credit rules historically allowed similar eligibility from 15 vs. 50 hours/week (policy details evolved).
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